

Trump-Xi summit shores up managed stability

送信者: EG China 受信日時: 2026-10-02 05:09

【メール原文】

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China Weekly

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- Announcement
- US-China: Summit achieves strategic goal of stability despite minimal trade deliverables
- Economic Policy: Beijing's lateststimuluswill do little to lift demand
- Foreign Policy: China will likely soften its stance toward Japan ahead of APEC summit
- Taiwan: US-China truce extension reinforcesnear-term cross-strait stability
- Standing Calls
- Upcoming Events

Announcement

The China Weekly will pause publication on 8 October due to the week-long National Day holiday. The publication will resume on 15 October.

US-China

Summit achieves strategic goal of stability despite minimal trade deliverables. On 27 September, the two sides released lists for reciprocal tariff cuts on about \$30 billion of each other's goods, although no implementation date has been announced. The summit outcome brings relations back in line with our managed-stability basecase: we lowered the odds of a truce breakdown before year-end to 15% from 30%, after the summit defused the AI-related tensions that had elevated that risk since August.

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Beijing believes the summit reinforced US recognition of China as an equal major power. It did not expect major commercial deliverables, judging the meeting by whether it stabilized the relationship. Unlike the May fact sheet, the White House's September version frames bilateral stability around "respect," alongside fairness and reciprocity, language that Beijing echoes in its own readouts (see: Summit lowers odds of year-end bilateral breakdown , 25 September 2026).

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The US is prioritizing affordability in managing trade with China. It will cut tariffs mainly on consumer goods such as toys and decorations ahead of the holiday season. Contrary to US Trade Representative Jamieson Greer's pre-summit remarks, the US did not cut tariffs on Chinese manufacturing inputs or

intermediate goods. This suggests that reshoring and exporting US-made finished goods are a lower priority for now. China will reduce tariffs on US agricultural products, chemicals, and medical devices.

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Omissions from tariff cuts do not reflect a lack of prioritization. Although soybeans were excluded, Beijing has already committed to purchase 25 million metric tons annually through 2028. China also retained tariffs on US LNG, but China Gas's pre-summit offtake agreement with Venture Global, alongside a Chinese commitment to purchase US coal, points to continued interest in maintaining a baseline of energy trade.

Economic Policy

Beijing's latest stimulus will do little to lift demand. On 28 September, a State Council executive meeting called for stronger counter-cyclical adjustment and measures to stabilize the property market. The next day, Beijing announced a first-home mortgage interest subsidy, a cut in the pledged supplementary lending (PSL) rate and wider PSL eligibility, and larger relending quotas for technology, equipment upgrading, agriculture, small businesses, and private firms. Yet the package adds little new credit or fiscal support.

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The mortgage subsidy aims to stabilize housing. Eligible first-time buyers get a one-percentage-point interest subsidy for up to five years. The 1.5-million-yuan price cap excludes most homes in tier-1 cities, so the subsidy will only reach lower-tier markets. Mortgage rates are already near record lows, and households are holding back because prices keep falling and they are unsure about their incomes.

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Other measures mostly speed up existing money rather than add new money. Beijing will accelerate bond issuance, project spending, and project starts without raising the overall budget. The 25-basis-point PSL rate cut to 1.5% and wider eligibility for "six networks" infrastructure projects come with no new financing volume. The 700 billion yuan in extra relending quotas raises banks' capacity to lend, but weak borrower demand and banks' caution will limit how much is actually used.

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The "counter-cyclical" language is slightly stronger, but policy direction is unchanged. The package does not address what is holding back household spending. As long as property values keep sliding, households will keep choosing to save rather than spend.

Foreign Policy

China will likely soften its stance toward Japan ahead of APEC summit. Foreign Minister Wang Yi and Vice Premier He Lifeng both met this week with Iwaya Takeshi, Japan's former foreign minister and defense minister who now heads the country's Association for the Promotion of International Trade. Iwaya's meetings were the most senior-level engagements between Chinese and Japanese officials since November 2025, when Prime Minister Takaichi Sanae's remark in parliament that Japan could intervene militarily in a Taiwan conflict sent bilateral relations into a tailspin (see: Beijing will maintain calibrated pressure campaign against Tokyo , 20 July 2026).

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Beijing may be recognizing the diplomatic cost of its pressure campaign against Tokyo. Since China's economic coercion campaign began in November, Takaichi's ruling party secured a landslide victory in lower house elections in February, and the governor in Okinawa who opposed US military presence was decisively defeated by an anti-China challenger in local elections last month.

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China likely cannot wait for a new prime minister before it reengages with Japan. With her approval ratings above 50% and no credible near-term political challenger, Takaichi will probably remain in office until at least the summer of 2028 (see: Takaichi remains politically secure despite governing stumbles , 5 August 2026). Takaichi and Xi probably will not meet at APEC in Shenzhen next month, but Beijing would like to maintain a positive atmosphere around the summit.

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A broader stabilization of China-Japan ties will likely have to wait until next year, if not longer. Despite the uptick in diplomatic engagement, China continues to restrict exports of rare earth elements to Japan.

Taiwan

Short-term trajectory:

Long-term trajectory:

US-China truce extension reinforces near-term cross-strait stability. The outcomes of the latest Trump-Xi summit are likely a relief to Taipei. Taiwan was not included in the eight-point consensus, nor did Trump concede to Xi's request of stating US opposition to Taiwanese independence. Trump said on 26 September that he "didn't spend a lot of time talking about Taiwan" with Xi.

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From Taipei's perspective, this was much better than the situation after the May summit, when Trump said that he "was not looking for someone to go independent" in Taiwan and that arms sales to Taiwan were a "good bargaining chip" in negotiations with China.

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Cross-strait tensions will likely remain stable. Beijing is confident that Trump will withhold public support for Taiwan to protect the US-China truce. Taiwan's President William Lai will likely refrain from making new, provocative comments on China in his National Day speech on 10 October to avoid Trump's ire, which could further weaken US support for the island.

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Taiwan arms sales will likely be delayed through at least the end of 2026, given that Trump and Xi are expected to meet twice more this year. Chinese contacts told Eurasia Group that even a small US arms package to Taiwan would risk jeopardizing the remaining summits later this year. Taiwanese contacts already expected further delays in arms sales before Xi's visit, so they view this as a sunk cost.

Standing Calls

Notes underpinning calls:

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Summit lowers odds of year-end bilateral breakdown , 25 September 2026

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Beijing's growing confidence will heighten Taiwan risks after 2028 , 15 September 2026

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Trade confrontation will escalate despite managed pause , 2 July 2026

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Beijing will maintain calibrated pressure campaign against Tokyo , 20 July 2026

Upcoming Events

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1-7 October: China's National Day/Golden Week

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10 October: Taiwan's National Day

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19-22 October: Bund Summit in Shanghai

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26-29 October: Fifth Plenum of the 20th CCP Central Committee

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16-18 November: ASEAN summit in Manila

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18-19 November: APEC summit in Shenzhen

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28 November: Taiwan local elections

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14-15 December: G20 leaders' summit in Miami

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10 January: US-China truce extension expiration

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